IT - NON IT

Reg. No. | | | | | | | | | | |

[22JUOE3301]

THIRD SEMESTER B.Tech. EXAMINATION, DECEMBER – 2022

IDEATION, CREATIVITY AND INNOVATION FOR STARTUPS

Time:3 Hours **Maximum Marks:50**

Instructions:
- **i.** PART - A (Question 1-5) answer any 4 questions.
- **ii.** PART - B (Question 6-8) answer any 2 questions.
- **iii.** PART - C (Question 9) is compulsory

PART – A

		05X04=20	
1.	**a.**	***"A sustainable business is resource efficient, respects the environment and is a good neighbor."*** Discuss the significance of sustainability in businesses.	03
	b.	Elaborate on Value Creation with an example.	02
2.	**a.**	Design Business Canvas Model for bakery store.	03
	b.	Discuss Porter's 5 force model with an example.	02
3.	**a.**	Illustrate different types of innovations with example.	03
	b.	Discuss the various financial instruments used for funding.	02
4.	**a.**	Outline the significance of Market feasibility analysis in startups with an example.	03
	b.	***"The essence of strategy is choosing what not to do"***. Discuss the statement with respect to strategic management process in startups.	02
5.	**a.**	Differentiate between Effectuation and Causation with an example.	03
	b.	Elaborate on the principles of Effectuation.	02
		PART - B **09X02=18**	
6.	**a.**	Develop a vision and mission statements along with strategic management model for a startup.	06
	b.	Elaborate on PESTEL analysis with an example.	03
7.	**a.**	Outline the significance of Innovation in startups with an example.	06
	b.	Explain the significance of the "lemonade principle" in dealing challenges and difficulties that an entrepreneur encounters along the way. Give examples.	03

8.	**a.**	Describe original thinkers by quoting an example.	04
	b.	Identify any two Startups of your choice which has disrupted the consumer market in India and explain their journey.	05
		PART - C **01X12=12**	
		Case Study:	

ZARA

Founded in 1975, ZARA, a Spanish clothing and accessories retailer was originally the brainchild of the Inditex Group owned by Amancio Ortega. Headquartered in Galicia, Spain, Inditex is the world's largest fashion retailer with ZARA as its international flagship chain store. Beginning with the single store in Spain to the recent launch into Australia, ZARA currently has over 1,700 stores in 78 countries providing exclusive fashion worldwide. ZARA was described by Louis Vuitton fashion director, Daniel Piette as "possibly the most innovative and devastating retailer in the world" and CNN described the brand as a "Spanish's success story"

Zara's Operational Model

Shifting from "mass standardization" to "customization" on a global scale is the most interesting aspect of the Zara's business model. The founder highlighted Zara's approach to fashion which is unique, like food, must be consumed immediately rather than rot in a cupboard.

Vertical Integration

Lack of existing channels to Spanish consumer in 1980s caused Zara being forced into control of production, distribution and sales. Zara's success lies in its vertically integrated system. This highly synchronized system gives extraordinary speed and design litheness. This is the reason behind success of Zara's strategy. Zara's Strategy is to give mid-market pricing, niche fashion and rapidly changing product range to the customers. This has also helped Zara to reduce 'Bullwhip effect'. The bullwhip effect as the tendency to fluctuation in final demand to get amplified as they were transmitted back up the supply chain. As a vertically integrated company, Zara always able to keep close look on the quality and delivery of the product to its retail store. Zara has developed such a strategy that they will manufacture 40% of the fabric in house and 60% they will get it from external supplier. Zara will then manufacture the designed the fabric in the house and send out to the external supplier for sewing and then again it comes to Zara where it is checked for its quality and then labeling will be done. Then the product goes to the central warehouse of Zara from where it is distributed to the stores.

Just in Time

Zara's Design process is more focused on the public who uses Zara's product.

		This information is generally collected by store manager or the store staff which is stored at the collection counter of each store and in the evening the collection details & the information stored is transmitted to the distribution center . This information transmitted to the Zara's designing professional daily. Using this information the designer figures out what are customers' needs and what are their main concerns which helps them to design the product carefully and reduce the customers concern. From design to the shelves it takes 6 weeks for Zara to introduce new design in market it is more effective than the normal 6 months cycle for any other organization. The short time cycle reduces working capital intensity and facilitates continuous manufacturing of new merchandise. In 2008, it was observed that "From design to the shelves it takes 15 days to Zara to bring the product in the market". Also Zara purchase about one-half fabric in 'Grey' color which gives them the maximum flexibility. The internal manufacturing plants of Zara are located in or around Zara's headquarters. This makes designing and appreval of the product very fast ultimately resulting in the faster production. These products then go to the central distribution center of Zara which further distributes the product to the stores twice in a week. This helps Zara to inventory and concentrate on customers' requirement. **Kaizen** There is always a gap between customers' need and quality characteristics. Implementation of Kaizen helps to reduce that gap and meeting customers' expectation to the closest. Key elements of Kaizen are Customer focus, Just in time, KANBAN, Flexible workplace practices, Empowerment, Quality assurance, Leadership, Future thinking, High quality, Low cost, Reduction in wastage, Punctuality. Zara as organization has almost all the elements of Kaizen. As we have seen, Zara has efficient Just in time running also they are more customer-focused as there most of the designs are made according to the customer's demand. With the efficient JIT system, Zara has reduced the wastage in the company. Most of Zara's products are lower in cost with good quality. Zara always follows flexible workplace practices.	
9.	**a.**	Trace the history of the brand ZARA.	04
	b.	Critically analyze the rise of the iconic brand.	04
	c.	With rapid changes in technology, discuss the importance of product/brand innovations for a company.	04